

**BEFORE
THE FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

SEAFair USA LLC

VS.

STERLING CONTAINER LINE LIMITED AND
ATLANTIC FORWARDING LTD.

**COMPLAINANT'S RESPONSE TO RESPONDENTS' MOTION FOR LEAVE TO FILE
SUR-REPLY AND TO SUPPLEMENT THE RECORD**

Complainant SeaFair, by and through the undersigned counsel, hereby opposes Respondents' Motion for Leave to File a Sur-Reply and to Supplement the Record. (Doc. No 29. Dkt. 22-34) (hereinafter "Respondents' Motion"). Respondents' Motion was anticipated by SeaFair because of Section E of the Opposition Brief of Respondents Sterling Container Line Limited and Atlantic Forwarding LTD, which manifests an intent to challenge any "new arguments". (Doc. No. 25; Dkt. 22-34) (hereinafter "Respondents' Brief" or "Opposition Brief"). Section E of Respondents' Brief argues that SeaFair should not be permitted to raise new issues or present new evidence. Because of this, in SeaFair USA LLC's Reply Brief and Responses to Respondents' Proposed Findings of Fact (Doc. No. 28; Dkt. 22-34) (hereinafter "SeaFair's Reply") it labored meticulously to limit its discussion directly to issues raised in the Opposition Brief. Additionally, SeaFair refrained from highlighting any new evidence and restricted itself to evidence already on the record that is directly responsive to claims asserted by Respondents. As such, SeaFair has not made any improper additional arguments, nor submitted any improper additional evidence. Moreover, Respondents have already taken ample opportunity to respond to

the substance of SeaFair’s Reply: their Motion contains arguments that do not support the Motion, but rather attack the substance of SeaFair’s reply. Therefore, the Respondents' Motion should be dismissed in its entirety.

INTRODUCTION

On August 28, 2023, Respondents submitted their Opposition Brief. The Opposition Brief contains numerous factual and legal allegations that SeaFair contests. These allegations include mischaracterizations of evidence on record, and tacit arguments that certain evidence does not exist. (See e.g. Opposition Brief at 15-16, 25). On September 12, SeaFair submitted its Reply Brief, addressing these issues raised by Respondents. On September 22, 2023, Respondents filed their Motion, which argues that SeaFair’s Reply was inappropriate because it improperly raised new arguments and new evidence.

SeaFair concedes that, “reply briefs are limited in scope to matters either raised by the opposition or unforeseen at the time of the original motion.” (Burnham v. City of Rohnert Park, 1992 WL 672965, at *1 n. 2 (N.D. Cal. May 18, 1992) (citing Lujan v. National Wildlife Federation, 497 U.S. 871, 110 S.Ct. 3177, 111 L.Ed.2d 695 (1990))). For this reason, in SeaFair’s Reply Brief it intended only to respond to, and to cast doubt on assertions raised by Respondents’ Opposition Brief. (See James v. Boyd Gaming Corp., 522 F. Supp. 3d 892, 907 (D. Kan. 2021) (“Plaintiff was entitled to reply to the arguments and legal authority raised in defendants’ Response. And by doing so, plaintiff didn't improperly raise new material—evidence or legal argument—that would then entitle defendants to a sur-reply.”))

SeaFair was fully aware that *any response* would likely draw an objection from Respondents: Section E of the Opposition Brief was a clear warning of this. As such, SeaFair restricted its Reply to addressing namely the following contents of the Opposition Brief: 1) direct

mischaracterizations of statements made by SeaFair in discovery, 2) mischaracterizations of certain evidence on the record, and 3) issues raised for the first time by Respondents in the Opposition Brief. Nonetheless, Respondents now object to SeaFair's response on the grounds that it introduces new and improper arguments and evidence. Because Respondents' objections lack merit, SeaFair will below demonstrate how Respondents opened the door to each item in SeaFair's Reply that Respondents now object to.

I. SEAFIAR'S EVIDENCE

A. Supplemental Appendix 1.

Supplemental Appendix 1 is both fundamentally responsive to a claim Respondents' Opposition Brief, and properly submitted. In their Opposition Brief, Respondents say:

SeaFair's Appendix 12 contains twenty MSC MBLs issued between June and August of 2021. Only two of those MBLs identify the Consignee as "SeaFair USA LLC as Agent of Sterling Container Line Limited." (See Appendix 12 at SFOB-APP-12-0002 and SFOB-APP-12-0021). The remaining eighteen MBLs identified in Appendix 12 identify the Consignee as "SeaFair USA LLC." (Id. at SFOB-APP-12-0040; SFOB-APP-12-0059; SFOB-APP-12-0078; SFOB-APP-12-0097; SFOB-APP-12-0116; SFOB-APP-12-0135; SFOB-APP-12-0154; SFOB-APP-12-0173; SFOB-APP-12-0192; SFOB-APP-12-0211; SFOB-APP-12-0230; SFOB-APP-12-0249; SFOB-APP-12-0268; SFOB-APP-12-0287; SFOB-APP-12-0306; SFOB-APP-12-0325; SFOB-APP-12-0344; and SFOB-APP-12-0363).

(Opposition Brief at 15-16).

In its Reply, SeaFair responded:

A simple glance at the Appendix List on page iii of SeaFair's Opening Brief will reveal that Appendix 12 is labeled as "Selection of MSC MBLs." This is because Appendix 12 does not contain the full list of MBLs on record, but rather a random sample of them...The MBLs produced by Respondents (attached as Appendix 1 to this Reply) invariably listed "SeaFair USA LLC as Agent of Sterling Container Line Limited.

(SeaFair's Reply at 24).

To support this claim, SeaFair attached Supplemental Appendix 1 to its Reply, which is a collection of MBLs, produced in discovery, which demonstrate that there are more than just two instances where SeaFair was listed as “Agent of Sterling...”

Respondents' statement mischaracterizes the evidence provided by SeaFair: it implies that SeaFair lacks documentary evidence to show that SeaFair was often listed as Sterling's agent. SeaFair responded accordingly, highlighting that Respondents' claim is based on a sample of the MBLs and that other MBL's clearly demonstrate this to be the case. Respondents now claim that SeaFair is “introducing new evidence in its Reply Brief that was available to Complainant far in advance of its Opening Brief filing.” (See Respondents' Motion at 3). Not only was such evidence already contained in the record, as it was produced in discovery and referenced by Complainant's Opening Brief, but Respondents' argument opened the door to it. Reasonably, SeaFair felt compelled to attach the referenced MBL's to its Reply to support its rebuttal of Respondents' allegation. Therefore, the inclusion of Supplemental Appendix 1 is fundamentally responsive to Respondents' Opposition Brief and should be permitted.

B. Supplemental Appendix 2

Supplemental Appendix 2 contains a series of email chains that are similarly responsive to Respondents' arguments. In Respondents' Brief, they assert that SeaFair's voluntary collection efforts were unreasonable. (See Opposition Brief at 3, 9-10). Namely, they argue that SeaFair was disorganized and confused in its efforts, which they base on alleged staffing difficulties. (Id.).

To demonstrate that these allegations are meritless, SeaFair supplied the email chains contained in Supplemental Appendix 2. These emails were already produced in discovery, placing them on the record. Moreover, they only became relevant to the proceeding because of

arguments made in Respondents' Brief. They were not proffered for any reason but to rebut arguments raised by Respondents for the first time in their Opposition Brief. Therefore, they are not only appropriate, but also fully responsive to Respondents' arguments. Therefore, Respondents' Motion should be dismissed and Supplemental Appendix 2 should be permitted.

Regarding the format of Appendix 2, the Initial Scheduling Order of January 18, 2023 (Doc. No.7, Dkt. 22-34) states "when documents are attached to a filing, as far as practicable, the exhibits should be in one PDF document." Supplemental Appendix 2 consists of a collection of 148 emails provided by Respondent in discovery. It would be impracticable to convert the 148 email chains and their contents to a single PDF document. In their current form, the files contain all information that was provided to the Respondents in discovery, and the files are readily accessible. Therefore, Supplemental Appendix 2 should be admitted in its original form.

II. SEAFAIR'S ARGUMENTS

In Respondents' Motion, they identify only two arguments by SeaFair that they regard as impermissible "new arguments." The first is as follows:

SeaFair's Reply Brief's Section I contains "rebuttals" to Respondent's Responses to SeaFair's Proposed Findings of Fact, including two references in support of new arguments, not previously asserted by Complainant, regarding the reasonableness of its invoice collection practices under its terms and conditions as follows with respect to Supplemental Appendix 2: "SeaFair's collection emails that were produced in the discovery are attached as Appendix 2 to this Reply."

(Respondents' Motion at 3).

SeaFair's discussion of the reasonableness of its collection practices is not new, but rather a direct response to allegations made by Respondents. In order to discredit SeaFair's Shipping Act violation claims, Respondents use these assertions to cast the issues as both a breach of contract and a failure by SeaFair to "mitigate damages." (See Opposition Brief at 8). Respondents allege, *exempli gratia*, "SeaFair generally failed to collect these charges itself from liable third-parties

due to disorganized billing and collection processes...” (Opposition Brief at 3; See also Id. at 9-10; Respondents’ Response to Complainant’s Proposed Findings of Fact (Doc. No. 26; Dkt. 22-34) at 16). As these examples demonstrate, Respondents on many occasions cited SeaFair’s alleged “disorganized billing and collection processes” to support their arguments. SeaFair’s arguments, as well as the inclusion of Supplemental Appendix 2, were intended to directly respond to these arguments. Because Respondents opened the door, SeaFair did not allege an improper new argument.

The second argument cited by respondents is:

Complainant then made new arguments regarding agency and its own course of dealing with non-party Mediterranean Shipping Company S.A. (“MSC”) based on its Opening Brief’s Appendix 12 and Reply Brief’s Supplemental Appendix 1. (Reply Brief, p. 24).

(Respondents’ Motion at 3).

However, Respondents neglect to note how in their Opposition Brief, they argued the following:

So despite the fact that SeaFair asserts in its Opening Brief that the only Consignee identified in the MSC MBLs in its Appendix 12 is “SeaFair LLC as agent of Sterling Container Line Limited” (see Opening Brief at p. 11-12), the documents in Appendix 12 that SeaFair submits and cites in support of its claims say otherwise – again, as only two of the twenty MBL’s identified in Appendix 12 list the Consignee as “SeaFair USA LLC as Agent of Sterling Container Line Limited” and the remainder list the Consignee as “SeaFair USA LLC.” (R-PFF 8).

(Opposition Brief at 7).

In its Reply, SeaFair merely restates, as it has since the beginning, that it has at all times worked as an agent of the Respondents. (See SeaFair’s Complaint (Doc. No. 1; Dkt. 22-34) at 2, para. 19). In their Opposition Brief, the Respondents blatantly call this into question by 1) alleging as fact that the vast majority of bills of lading recognize SeaFair as the consignee; and 2) arguing that the alleged fact is dispositive. In response, SeaFair replies that 1) the bills of lading, taken as a whole, do not support such an assertion; and 2) regardless of the label, in fact SeaFair was

always an agent of Respondents. Therefore, SeaFair presented no new arguments: this argument is also directly tied to, and limited to addressing, claims made by Respondents in their Opposition Brief.

In conclusion, Respondents have not indicated a single argument made by SeaFair which they did not blatantly open the door to. SeaFair was careful to only address arguments made by Respondents. As such SeaFair has not made any improper new arguments and Respondents' Motion to strike should be dismissed.

III. A SUR-REPLY IS NOT WARRANTED

For the above reasons, Respondents' request for a sur-reply lacks merit. Respondents' primary reasoning is as follows:

When presented with a reply brief that contains new evidence, particularly evidence that was available at the time of the initial briefing, federal courts have consistently held that a sur-reply is appropriate despite the fact that the Federal Rules of Civil Procedure (and FMC rules of procedure) do not expressly permit the filing of sur-replies.

(Respondents' Motion at 6).

However, by dismissing Respondents' Motion, the ALJ would not be allowing the introduction of new arguments or evidence. Rather, the ALJ would be allowing content that is both already on the record and responsive to Respondents' Opposition Brief. Therefore, the central reasoning of Respondents' Motion is deficient; a sur-reply is not appropriate because no new information has been presented.

Additionally, Respondents have no need to file a sur-reply. The argument section of Respondents' Motion is already laden with arguments attacking the substance of SeaFair's Reply. For example, on page 5 of Respondents' Motion they argue:

Complainant's Reply Brief's Supplemental Appendix 1 contains certain bills of lading that were produced to it in discovery by Respondents in June 2023, but Complainant chose not to use such documents in Complainant's Opening Brief (despite being timely

produced by Respondent and in Complainant's possession). The stated reason for doing so was that Complainant's original Opening Brief's Appendix 12 containing MSC master bills of lading ("MBLs") was merely a sample, and because it was 381 pages long, Complainant "thought it better to select a few to present as evidence." (Reply Brief at p. 24). However, of those 381 pages that Complainant relied on to form a key part of its arguments, there were only 20 MBLs actually "sampled," comprising approximately 40 pages of the 381 page Appendix 12. The remaining pages were duplicate copies of non-party MSC's terms and conditions. Complainant's Reply Brief now characterizes Respondents' citations to Complainant's own Appendix 12 proffered as evidence in its Opening Brief as "counterfactual." (Reply Brief at p. 31).

(Respondents' Motion at 5).

Arguments such as this do not support the merits of the Motion, but rather attack the contents of SeaFair's Reply. In making such arguments throughout the Motion, Respondents have sufficiently made their point. They have used their Motion as real estate to argue against the contents of SeaFair's Reply; they have left little else to be said. As such, they would not be prejudiced by being denied a sur-reply.

Finally, Complainant's Reply does not make false or accusatory statements regarding Respondents' discovery practices, and therefore does not warrant a response. Respondents reference SeaFair's Reply Brief at 8 and 24, which read, respectively,

Respondents refused to produce all the requested MBLs and only upon SeaFair's motion to compel, they produced MBLs attached as Appendix 1 to this Reply.

and

Notably, Respondents have staunchly refused to produce the MBLs listed in SeaFair's Exhibit 2 to its Request for Admission. [citation].(sic) They produced a handful of MBLs after SeaFair moved to compel production.

Respondents' objection over these statements is frivolous: the docket speaks for itself. SeaFair requested several documents to no avail, and was forced to file a motion to compel production. (See Doc. 17, Dkt. 22-34). The motion to compel was ultimately denied, not on its merits, but because Respondents provided supplemental discovery to SeaFair in response to its

motion to compel. (See Doc. 20, Dkt. 22-34). Therefore, the above statements cited in Respondents' Motion, are neither false nor accusatory. These statements merely reflect the factual background of this proceeding. Therefore, no sur-reply by Respondents is warranted. Even if the ALJ were to find that these statements warrant a sur-reply, it should be limited to addressing these specific statements, not other parts of SeaFair's Reply.

IV. CONCLUSION

In conclusion, the entirety of Respondents' Motion should be dismissed. It is deficient for the following reasons: 1) SeaFair did not put forth any new arguments in its Reply; 2) SeaFair did not submit any new evidence in its Reply; 3) Respondents have already used their Motion as a sur-reply. As a result of these reasons, Respondents cannot support their alleged entitlement to a sur-reply. No inappropriate arguments or evidence were introduced in SeaFair's Reply: all arguments and evidence were directly responsive to points made by Respondents in their Opposition Brief. Additionally, Respondents have already taken the liberty of addressing SeaFair's Reply in the Motion at issue. Therefore, any sur-reply would certainly be redundant. Consequently, Respondents' request is wholly without merit. For these reasons, SeaFair respectfully requests that Respondents' Motion be denied in full.

V. ALTERNATIVE

SeaFair fully believes in the merits of the arguments set forth in this document: SeaFair has not submitted any new documents or arguments. However, should the ALJ decide that SeaFair's has improperly supplemented the record, SeaFair respectfully asks leave to supplement the record pursuant to 46 CFR § 502.216. This supplementation would be limited exclusively to the arguments and evidence in SeaFair's Reply that Respondents have identified as objectionable.

Should the ALJ require SeaFair to supplement the record, SeaFair nonetheless contends that Respondents are not entitled to a sur-reply: Respondents have already used their Motion as a forum to attack SeaFair's Reply, rendering a potential sur-reply redundant. However, in the event that Respondents are granted a sur-reply, SeaFair requests leave to file a response to the sur-reply 10 days after Respondents' sur-reply is submitted. Additionally, the sur-reply should be limited exclusively to addressing the alleged new arguments and evidence in SeaFair's Reply. See James, 522 F. Supp. 3d at 907–08 (Contents of sur-reply limited when: “The majority of defendants’ Sur-reply tries to have the last word, mainly by retelling arguments already made. It's not, at least for the most part, a response to new legal arguments or evidence).

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Respectfully Submitted,
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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 6th day of October 2023, the foregoing Response was served via electronic mail on:

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